Economics & Strategy

DBS Flash

Taiwan: Navigating oil price shocks

Economics/growth/monetary

Group Research

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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.

- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.

- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.

- The central bank retains monetary policy flexibility.

- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

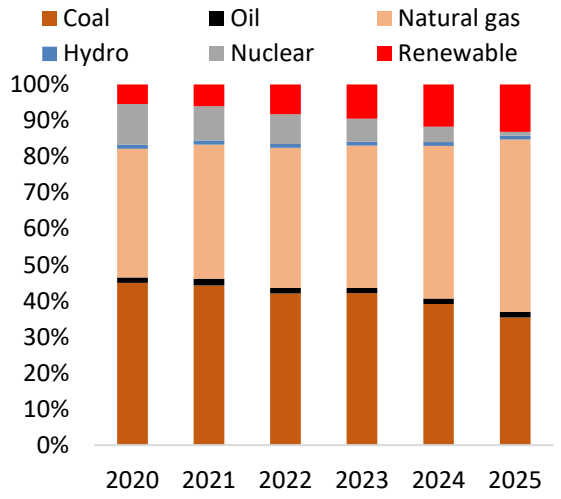
The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

Energy exposure

Taiwan is highly exposed to oil price shocks due to its energy structure. **The island relies heavily on thermal power**, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

Nearly all thermal fuel inputs are imported. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

Taiwan: Electricity supply



Sources: CEIC, DBS

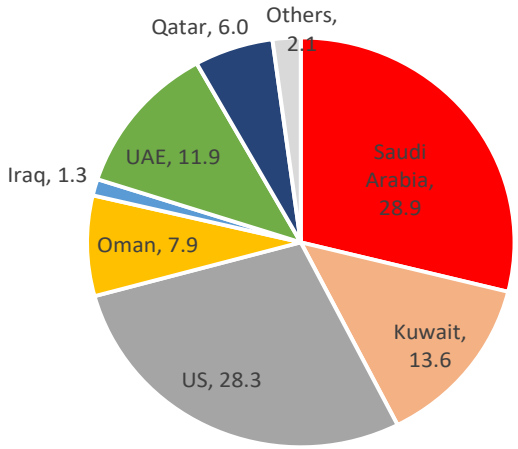
Asia: Net fuel imports/nominal GDP (2025)

Sources: CEIC, DBS

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—**and about 30% of its LNG from Qatar**. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

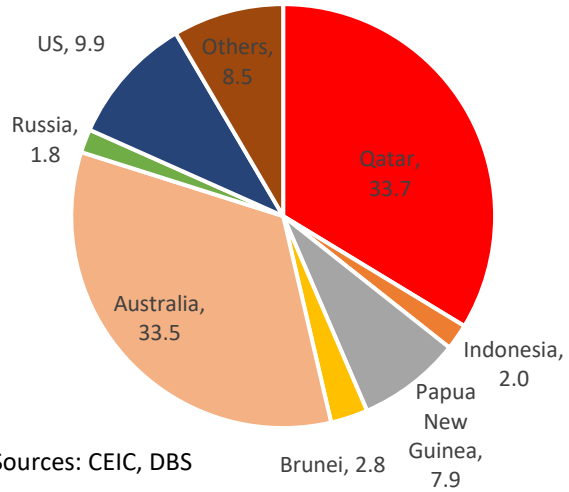
Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel, and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

Taiwan: Crude oil imports by source (2025)



Sources: CEIC, DBS

Taiwan: LNG imports by source (2025)

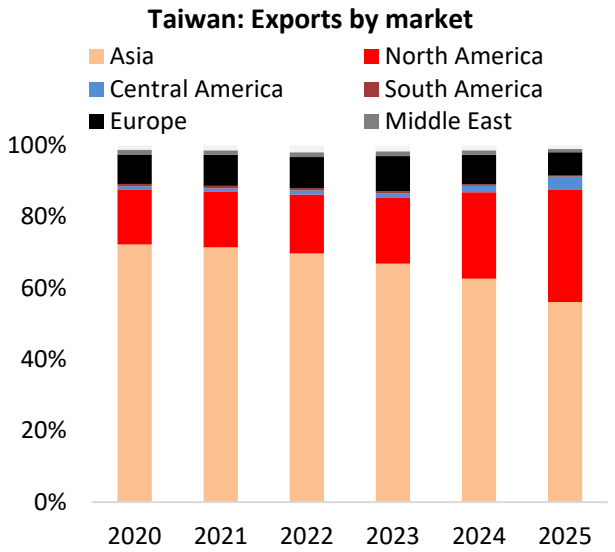


Sources: CEIC, DBS

Trade exposure

Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

The larger risk comes from second-order effects of higher global energy costs. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports**. AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.



Sources: CEIC, DBS

Macro implications

An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation. If oil stabilizes around US$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around 1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

The central bank retains flexibility. With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.

Market implications

Financial markets remain another channel of adjustment. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

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Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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Economics

Thailand chartbook: Firmer 4Q25 growth, Cautious outlook

Economics/Growth/Inflation/Monetary

Group Research

February 19, 2026

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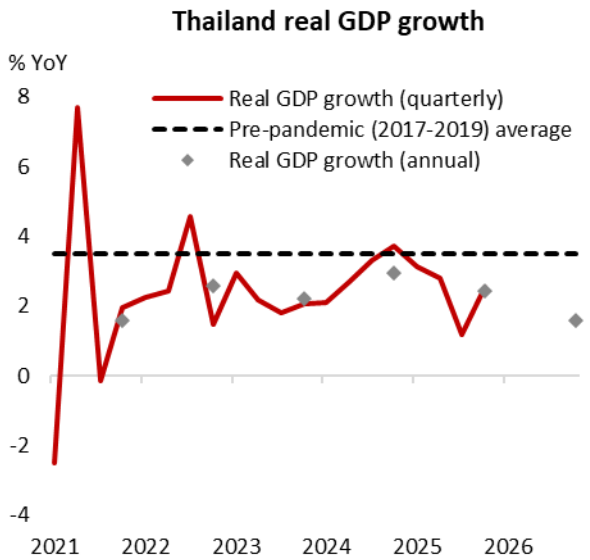
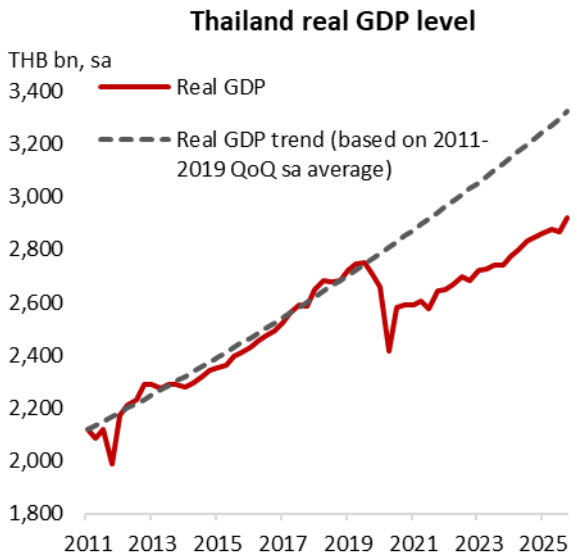
- *Thai real GDP growth rose to 2.5% yoy in 4Q25 due to improved domestic demand. Nonetheless, full-year growth eased to 2.4% in 2025.*
- *Private and government consumption were boosted by stimulus in 4Q25, but household spending will likely be constrained by income challenges and high debt in 2026.*
- *Good exports, while strong, eased in 4Q25, and will face headwinds from the lagged impact of US tariffs in 2026. The recovery in foreign tourism will likely be gradual.*
- *High likelihood of policy continuity after the Bhumjaithai Party's decisive electoral victory.*
- *We expect the dovish BOT to cut its policy rate by 25bps to 1.00% in 2026, but will likely hold in February to preserve policy space after the better-than-expected 4Q25 growth.*
- ***Forecast implications:** We maintain our 2026 forecasts for real GDP growth and headline inflation at 1.6% and 0.5%, respectively.*



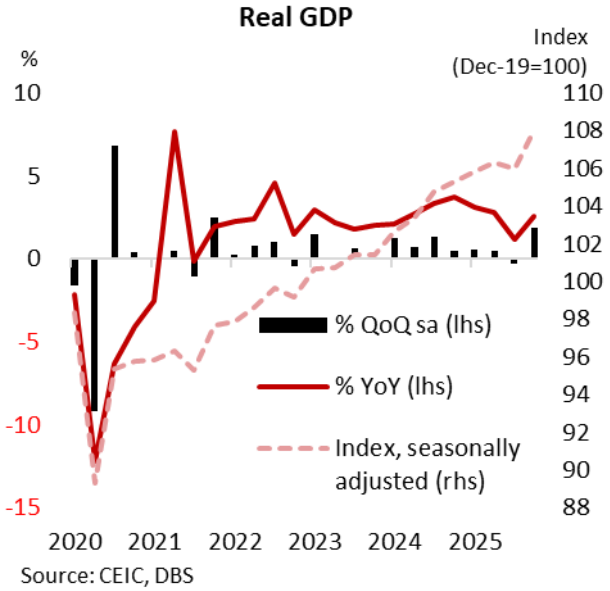
Source: CEIC, DBS. 2026 = DBS forecast



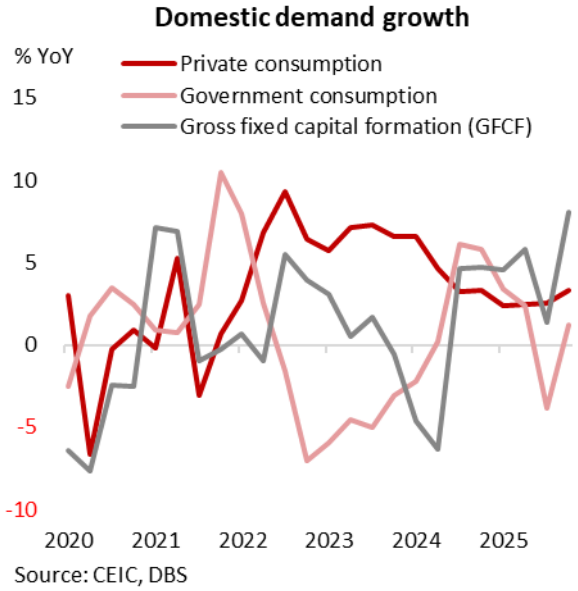
Source: CEIC, DBS

Real GDP growth

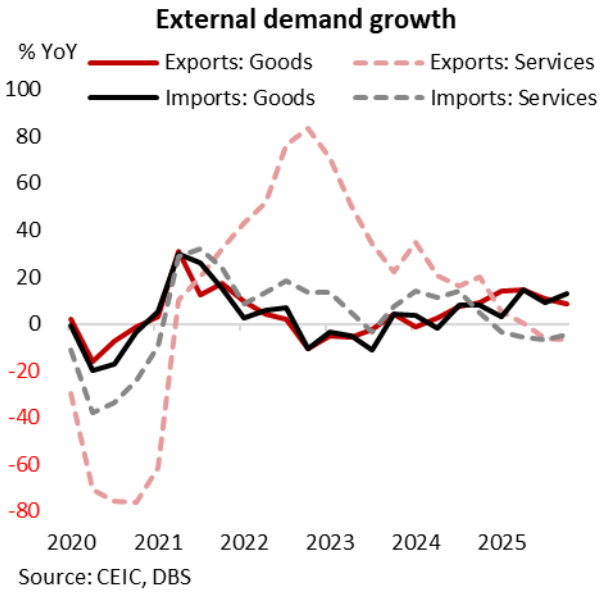
Real GDP growth rose to 2.5% yoy in 4Q25, up from 1.2% yoy in 3Q. However, growth for full-year 2025 eased to 2.4%. We maintain our forecast for slower growth of 1.6% in 2026, given various challenges.



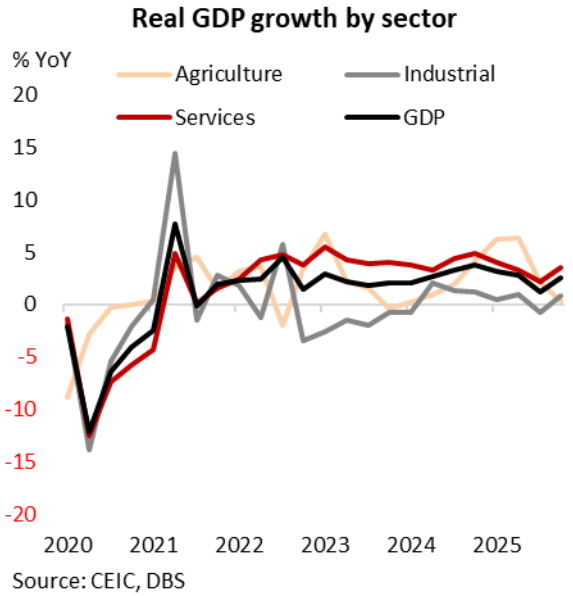
Overall growth was boosted by improved domestic demand in 4Q25. Private consumption and government consumption were lifted by temporary stimulus support. Investment growth surged to the highest in 10 years.



External demand growth in 4Q25 eased further for the third consecutive quarter. Goods exports, while strong, decelerated, and services exports remained in contraction.

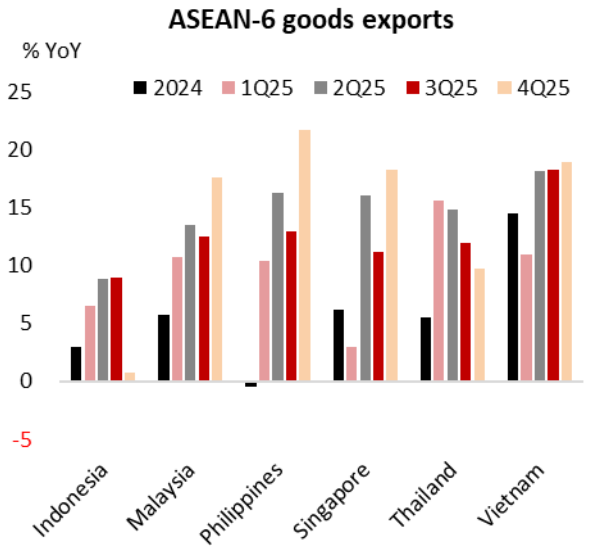


The pick-up in economic expansion was driven by a rebound in the industrial and services sectors in 4Q25. The agriculture sector was negatively impacted by weather disruptions.



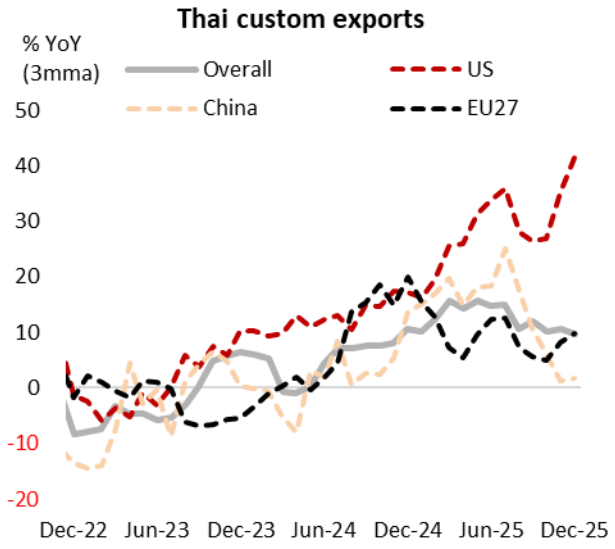
Goods exports

Regional goods exports performed well in 2025 despite the US tariff roller coaster. However, strong Thai export growth eased over the course of 2025. Thai shipments will face headwinds from the lagged impact of US tariffs in 2026.



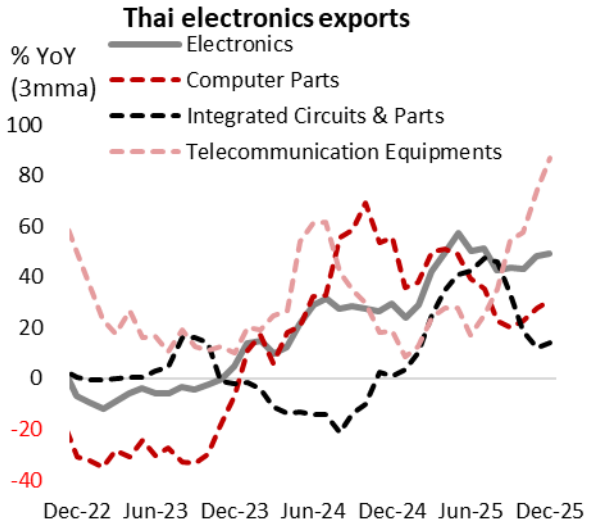
Source: CEIC, DBS. Note: % YoY in USD terms.

Thai goods exports benefitted from accelerating momentum to the US in 2025, but this trend looks unsustainable in 2026.



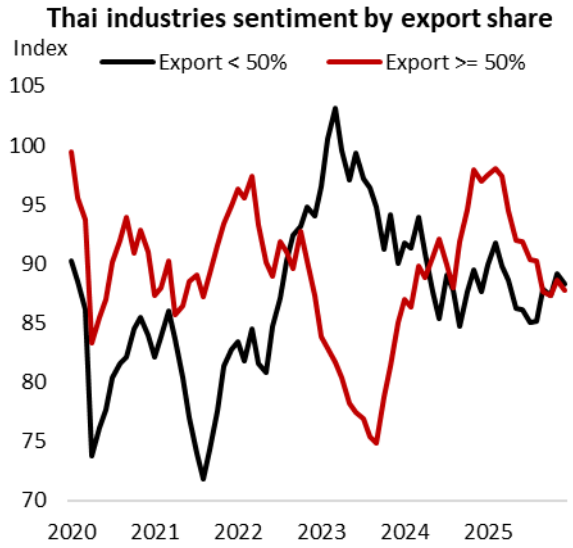
Source: CEIC, DBS

Thai electronics exports have been supported by global artificial intelligence (AI)-related external tailwinds. While these tailwinds remain supportive, there are risks of excessive exuberance.



Source: CEIC, DBS
Note: dotted lines are selected sub-components

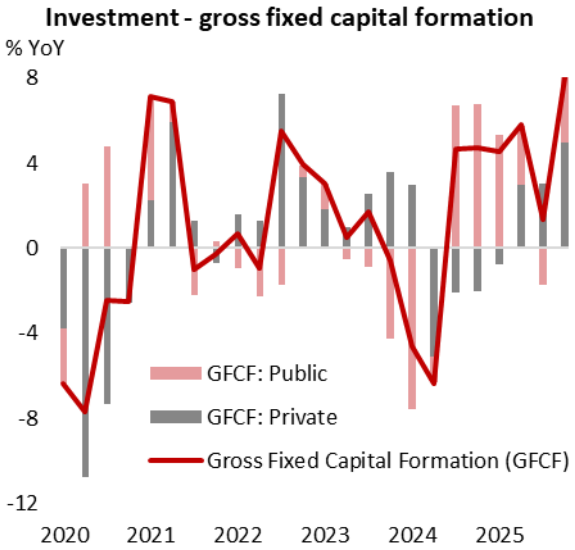
Sentiment among Thai industries more exposed to exports remains cautious despite strong export growth, likely due to the still-uncertain global trade policy landscape.



Source: CEIC, DBS

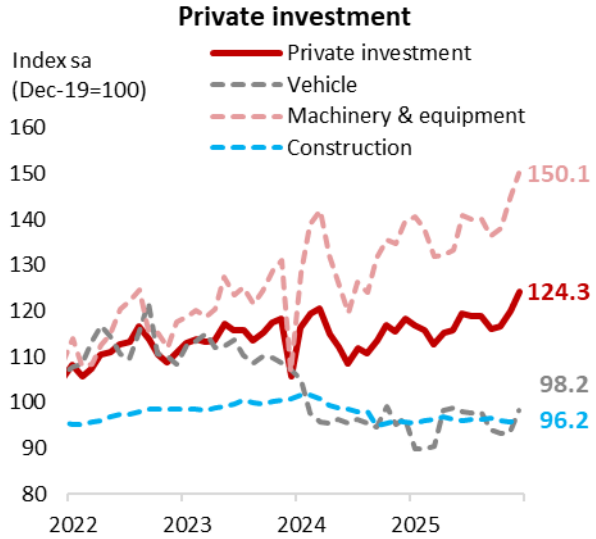
Investment

Quarterly investment growth in 4Q25 accelerated to a 10-year high, driven by both public and private sectors. We will have to watch if the strong momentum can be sustained in 2026.



Source: CEIC, DBS

Private investment was mainly supported by an increase in machinery and equipment at the end of 2025. However, an uncertain domestic and external landscape could dampen investor sentiment.



Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

The Bhumjaithai Party looks likely to lead the new coalition government after its decisive victory during the elections on 8 February. We see increased likelihood of political stability with a technocratic government to implement its proposed economic policies, but execution remains key.

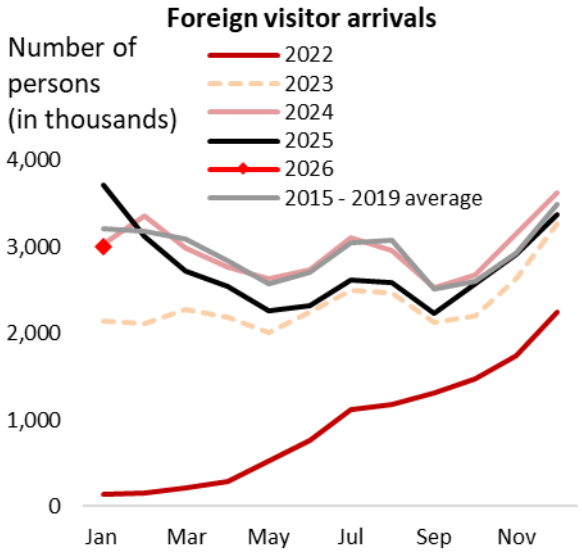
The Bhumjaithai Party's Economy 10 Plus Policies

#	Policies	Description	#	Policies	Description
1	Small & Low-Income Support (Small Business & Welfare Plus)	Support for small businesses and low-income households through reforms to the state welfare card, continued co-payment (Half-Price Plus) scheme, electricity subsidies (capped at 3 THB per unit for the first 200 units), government savings bonds and savings incentives, and fast debt consolidation to reduce financial burdens.	6	Green Economy Plus	Supporting environmentally friendly economic activity, clean energy (e.g., solar and EV sectors), a carbon market, and incentives for green businesses to promote sustainable growth.
2	Made in Thailand SMEs Plus	Strengthening Thai SMEs with capital injections, easier loan guarantees, improved market access, and support to help locally-made goods succeed domestically and abroad.	7	Digital & AI Plus	Expanding access to AI and digital tools to improve productivity, income opportunities, and new job creation.
3	Investment Plus	Boosting investment (targeting around 30 % of GDP within four years), including public-private co-investment and incentives to attract both domestic and foreign investment, especially in future industries.	8	Equal Education Plus	Genuine free education with built-in pathways to employment — including online platforms, skills training, and job linkage programs.
4	Produce & Sell Plus	Enhancing production of the right goods and ensuring they meet consumer demand, along with support for local production tailored to market needs.	9	Senior Citizens Plus	Policies to enhance employment, income, care, and tax benefits for senior citizens (e.g., tax deductions for hiring seniors, incentives for elderly employment, community caregiver programs, and development of senior care centers).
5	Trade Plus	Promoting smart, high-value trade, upgrading the production base, and expanding Thai exports via mutually beneficial international partnerships.	10	Thailand Plus (Regulatory & Governance Reform)	Streamlining regulations, accelerating approvals, and creating a more investment-friendly environment to support a "new economy" and increase Thailand's competitiveness.

Source: News, DBS compilation

Tourism and Private consumption

Thailand's foreign tourism is starting 2026 on a soft note, following the gradual increase in 4Q25. The outlook is for a modest improvement in 2026, but a strong baht could pose competitiveness challenges.

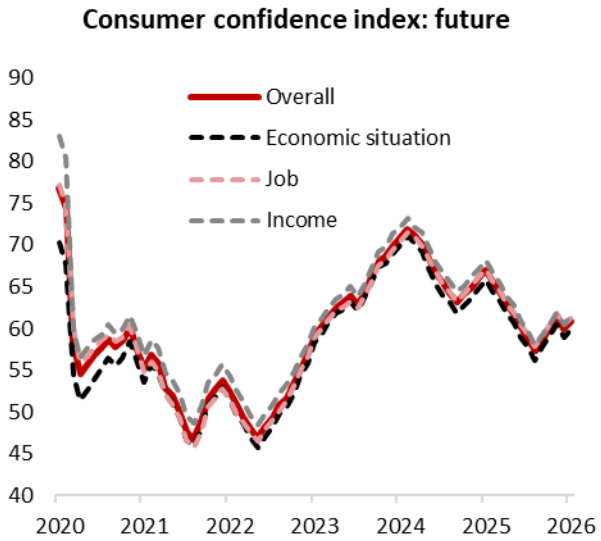


Source: CEIC, DBS

The kingdom faces challenges in attracting Chinese tourists, having been impacted by safety concerns, and is also losing them to regional destinations. The recovery in Chinese tourists will likely be gradual.

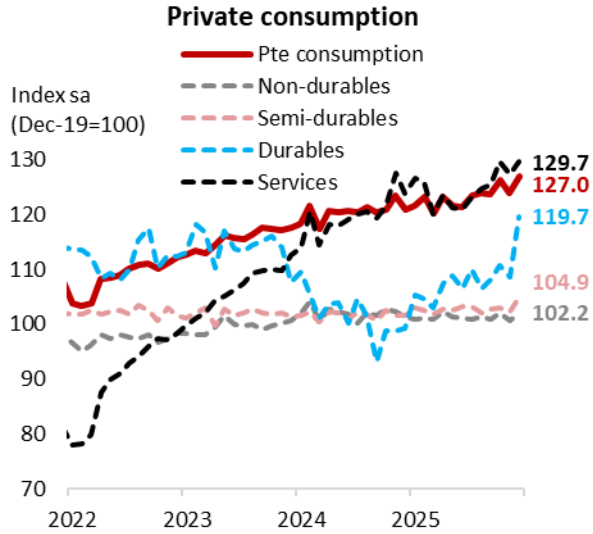
Source: CEIC, DBS
Note: Comparison vs same month in 2019.

Consumer confidence recovered slightly in 4Q25 due to government stimulus, but will likely be cautious in early 2026 amid income challenges due to economic uncertainty.



Source: CEIC, DBS. Note: dotted lines refer to sub-indices

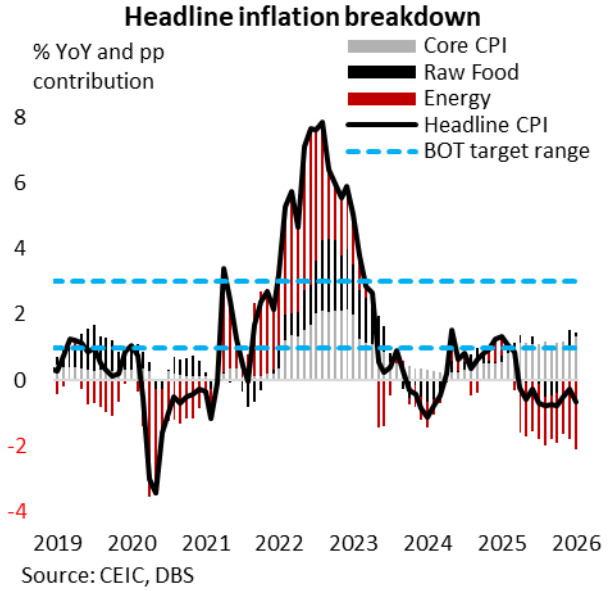
Private consumption was temporarily boosted by durable goods, notably vehicle sales. However, purchasing power remains fragile amid cautious consumer sentiment, and high household debt.



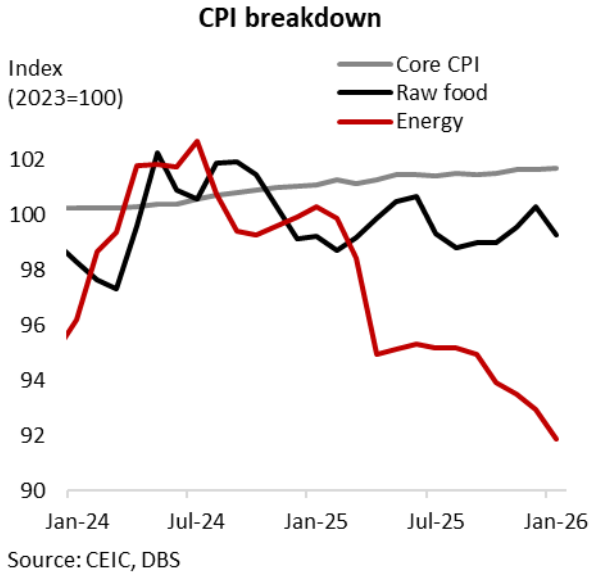
Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

Inflation and Monetary policy

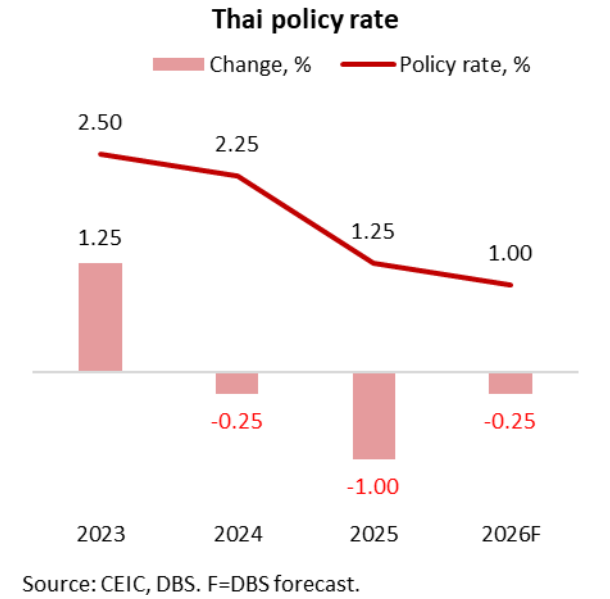
Headline inflation remains negative for the 10th consecutive month as of January 2026. This was due to supply-side factors, although demand-pull pressures were also weak. We maintain our forecast of 0.5% for 2026.



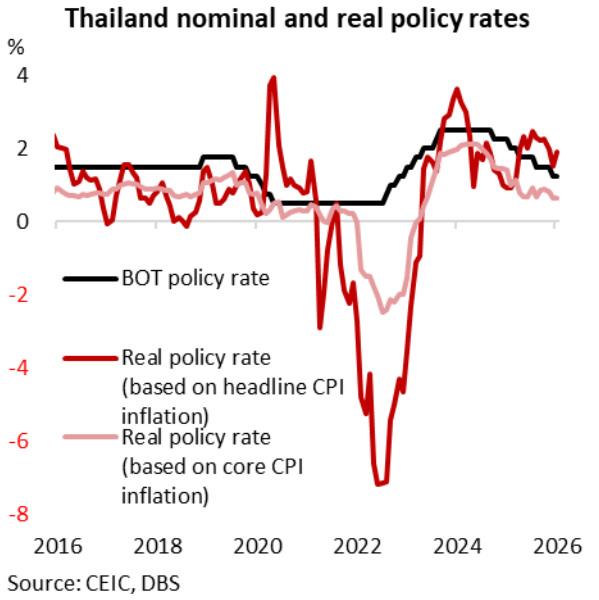
Lower energy prices, including fuel and electric tariffs, are the key supply-side factor dampening headline inflation. Food prices face some upside pressure from weather disruptions. Core CPI is only edging up gradually.



While we think the Bank of Thailand (BOT) will cut its policy interest rate again in 2026 to support growth, we see little urgency to ease monetary policy in February after the stronger-than-expected growth rebound in 4Q25.



Real policy interest rates in Thailand are not low, even as the BOT has eased monetary policy by 125bps since October 2024. There is still room for rate cuts, although policy space is diminishing.



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DBS Focus

Singapore Budget 2026: Future-focused strategies

Economics/GDP/Fiscal

DBS Group Research February 13, 2026

Chua Han Teng, CFA
Senior Economist

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- *Budget 2026 is pragmatic and forward-looking, sharpening economic competitiveness and strengthening the social compact.*
- *Strategic plans to harness AI, spur internationalisation, and boost enterprise funding aligned with the Economic Strategy Review are encouraging.*
- *Social support is reinforced with continued assurances and targeted aid.*
- *Fiscal discipline is reaffirmed with an overall surplus for the third consecutive year in FY2026.*
- *The government projects an overall fiscal surplus of SGD8.5bn (1.0% of GDP) in FY2026, compared to SGD15.1bn (1.9% of GDP) in FY2025.*

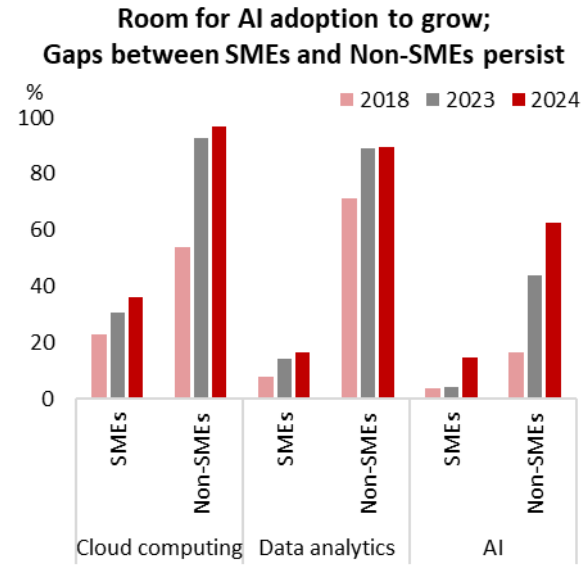
We view Budget 2026 as a strategic, forward-looking plan that sharpens Singapore's economic competitiveness and strengthens the social compact under the Forward Singapore agenda, underpinned by fiscal discipline. By laying out the policy toolkit to advance the long-term direction and recommendations in the Economic Strategy Review (ESR) Mid-term Update, it positions Singapore to better navigate an increasingly complex and fractured global landscape amid domestic constraints. At the same time, continued social support aims to strengthen inclusion. We highlight six key takeaways.

1) Leveraging artificial intelligence (AI)

AI, featured prominently within the seven recommendations of the ESR Mid-term Update, is a major focus in Budget 2026. Key policies in the budget aim to leverage technology to power Singapore's next phase of economic growth. **We believe harnessing AI effectively across the economy will boost productivity – a crucial driver of competitiveness and growth over the next decade – as Singapore's mature economy faces increasingly binding land and labour constraints.**

Co-ordinated efforts, including the formation of a National AI Council chaired by the Prime Minister, new national AI Missions across four strategic sectors, and the establishment of an AI park, aim to position Singapore strategically as a global AI leader, driving innovation while enabling effective and targeted deployment of AI at greater scale and speed. A notable enhancement is expanding the Productivity

Solutions Grant (PSG), which has been key in helping small and medium-sized enterprises (SMEs) implement digital and automation solutions to raise productivity over the years. Expanding the PSG to allow firms of any size to access AI-enabled tools will help to defray AI adoption costs and therefore incentivise enterprise-wide adoption, particularly among SMEs, which have lagged large corporates.



Source: Singapore Digital Economy Reports, DBS

Building an AI-ready workforce will also be a key ingredient for broad-based AI utilisation across the economy. To encourage wide-spread learning, familiarity, and usage of AI, Singaporeans who undergo selected training courses will receive six months of free access to premium AI tools, supported by a redesigned SkillsFuture website to help learners better identify suitable AI courses. The expansion of TechSkills Accelerator for mid-career workers will gradually diffuse AI capabilities into non-tech sectors, starting with accountancy and legal professions before extending to other fields.

2) Spurring internationalisation and increasing capital availability

Strengthening connectivity and aggressively supporting internationalisation is another key recommendation in the ESR Mid-term Update. Enhanced internationalisation schemes, such as the Market Readiness Assistance Grant and the Double Tax Deduction for Internationalisation scheme, will support the ambitions of Singapore enterprises, as they aim to expand into new overseas markets and diversify revenue streams for greater growth, as well as build resilience amid global uncertainty and a limited domestic market. **This internationalisation momentum is evident, with around eight in 10 SMEs planning overseas expansion in 2026, according to a recent DBS Business Pulse Check survey.**

The ESR Mid-term Update also recommends sustaining a vibrant startup ecosystem through increased enterprise capital availability. Various enhancements and top-ups to the Startup SG Equity Scheme (SGD1.0bn), the Anchor Fund (SGD1.5bn), and the Financial Sector Development Fund (FSDF) (SGD1.5bn) broaden access to funding from private to public markets, supporting companies' growth ambitions. **Boosting the Equity Market Development Programme (EQDP) via the FSDF will add impetus to the ongoing revival of the public equities market.**

3) Committed to green transition

Budget 2026 reaffirms Singapore's steadfast commitment to the green transition and sustainability. The city continues to make progress towards its long-term target for net zero emissions by 2050. The government is therefore raising the 2030 solar deployment target to 3 gigawatt-peak, after reaching the

target of 2 gigawatt-peak well ahead of schedule. It also reiterated its goal of achieving 100% cleaner energy vehicles by 2040. The extension of the Energy Efficiency Grant and green loans support under the Enterprise Financing Scheme will provide businesses with key financial support to adopt green solutions.

Singapore will press on with increasing the carbon tax to spur decarbonisation from the current SGD45/tonne. Yet, Budget 2026 signals that the carbon tax may be positioned at the lower end of its projected SGD50-80/tonne range by 2030, giving businesses greater clarity for planning future carbon costs.

4) Alleviating business cashflows and costs

With economic resilience still possibly likely to be tested this year amid external uncertainty, the government will provide a slightly reduced corporate income tax rebate, which we expect to continue supporting firms' cashflow needs. Companies are also likely to be prudent on cost management, particularly manpower-related expenses. In this regard, enhancements/extensions to various schemes, such as the Progressive Wage Credit Scheme, the Senior Employment Credit, and the CPF Transition Offset, will help shoulder wage costs, amid efforts to uplift lower-wage workers and encourage the continued employment of senior workers.

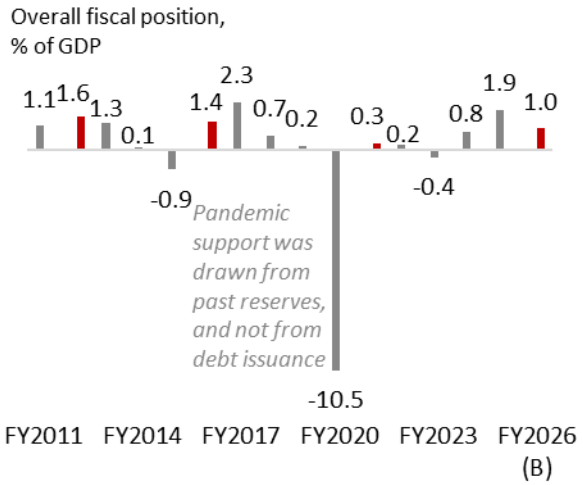
5) Strengthen social compact

Government efforts to strengthen the social compact by mitigating inequality and strengthening inclusion are evident in the budget policies. Key initiatives include raising the Local Qualifying Salary to uplift the incomes of lower-wage workers, increasing the monthly household income threshold for pre-school education subsidies, and enhancing the ComLink+ Progress Packages for families. The latest round of targeted assistance, including cash payments, U-Save rebates, and CDC vouchers, builds on earlier support frameworks and provides timely cushion and relief to households facing ongoing cost pressures.

6) Strong fiscal position

Budget 2026, the first fiscal plan of the new term of government, strikes a balance between calibrated, targeted policy support and fiscal discipline. The government's budgeted overall fiscal surplus of SGD8.5bn (1.0% of GDP) for FY2026 marks the third consecutive year of surplus, extending the positive public financial performance of recent years, even amid increased focus on various spending priorities. The fiscal impulse is assessed to be mildly expansionary in FY2026.

Fiscal prudence was typically observed in the first budget of a new government term



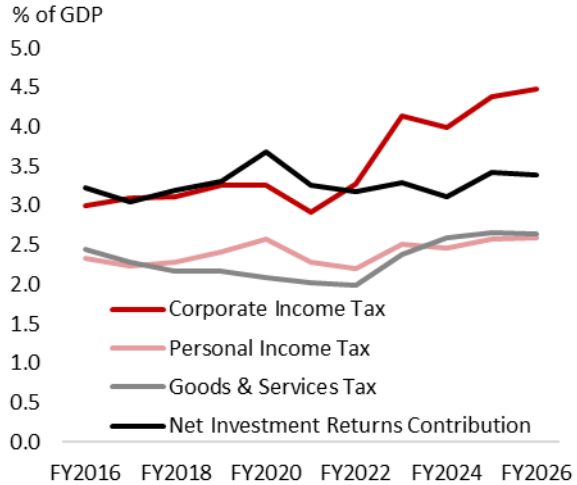
Source: CEIC, MOF, DBS

Based on outcomes from FY2021 to FY2024 and higher revised surplus of SGD15.1bn for FY2025, we estimate that the government is poised to cumulatively accumulate a strong overall positive fiscal position of SGD22.3bn over its previous term. This reflects Singapore's robust and resilient economic performance despite global turbulence.

Healthy public finances and fiscal strength remain a key competitive advantage, providing the crucial policy space to deliver bold, strategic plans to navigate the significant shifts in an increasingly complex global environment.

As a share of GDP, total revenues (comprising operating revenue and Net Investment Returns Contribution, NIRC) will remain strong, and continue outstripping total spending (comprising total expenditure and special transfers) of 18.9%, despite falling slightly to 19.4% in FY2026 from 19.7% in FY2025. Corporate income tax revenues will remain the largest revenue contributor, sustaining at above 4% of GDP for the fourth consecutive fiscal year. The government expects higher corporate tax collections in FY2027 with the implementation of the Top-up Tax under Pillar Two of BEPS. Total revenues will also be bolstered by the NIRC at a stable 3.4% of GDP.

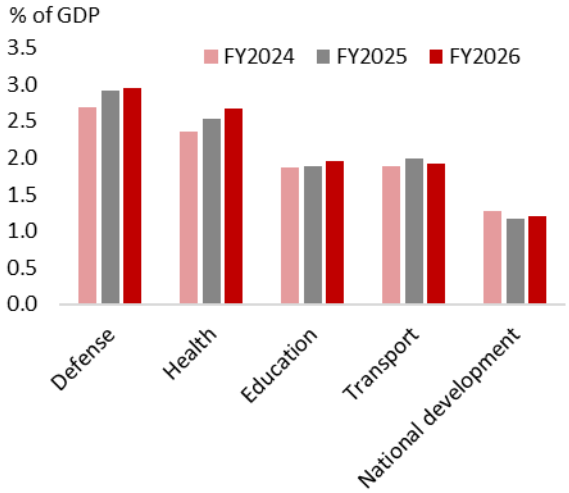
Strength in key revenue sources in recent years



Source: CEIC, MOF, DBS

However, the government's spending needs will rise over time to meet top priorities in areas such as defence, healthcare, education, and the economy. Amid an unstable world due to rising geopolitical uncertainty, Singapore will increase its defence spending to 3.0% of GDP in FY2026. It expects security-related expenditures to rise in the coming years to keep Singapore safe and secure, and is prepared to allocate more if needed. Healthcare spending will rise to 2.7% of GDP in FY2026 from around 2.4-2.5% of GDP in the preceding four years, and is also poised to face upward pressures as Singapore tackles demographic challenges from a rapidly aging population.

Continued spending in key areas



Source: CEIC, MOF, DBS

Special transfers will decline for the third consecutive year to 2.6% of GDP in FY2026, but the government continues to make strategic top-ups and investments to support long-term economic strategies and priorities. These include additional allocations to the Changi Airport Development Fund (SGD6bn) to boost air connectivity, as well as the National Productivity Fund (SGD6bn) and National Research Fund (SGD5bn) to drive research and development as well as innovation.

Singapore's overall fiscal position

	Actual FY2024	Revised FY2025	Budgeted FY2026	Change over Revised FY2025	
	SGD bn	SGD bn	SGD bn	SGD bn	% change
Operating revenue	**115.5**	**130.9**	**134.8**	**3.9**	**3.0**
Less:					
Total expenditure	**112.3**	**124.5**	**137.3**	**12.9**	**10.3**
Operating expenditure	88.9	97.5	103.3	5.8	6.0
Developmental expenditure	23.4	27.0	34.0	7.1	26.1
Primary surplus/deficit	**3.2**	**6.4**	**-2.6**		
Less:					
Special transfers	**25.0**	**23.4**	**21.7**	**-1.6**	**-7.0**
Special transfers excluding top-ups to endownment and trust funds	3.0	3.8	2.8		
Basic surplus/deficit	**0.3**	**2.6**	**-5.4**		
Top-ups to endownment & trust	22.1	19.6	18.9		
Add:					
Net investment returns contribution	**24.1**	**27.5**	**28.5**	**0.9**	**3.4**
Overall budget surplus/deficit	**2.3**	**10.6**	**4.2**		
Add: Capitalisation of nationally significant infrastructure	4.2	5.0	5.0		
Less: SINGA interest costs & loan expenses	0.4	0.5	0.7		
Overall fiscal position	**6.1**	**15.1**	**8.5**		
Overall balance as % of GDP	**0.8**	**1.9**	**1.0**		

Source: MOF

Economic Strategy Review (ESR) Mid-term Update

#	Recommendations	Details
1	Extend our lead and establish global leadership in key growth sectors	• Harness AI, automation and sustainable technologies to transform advanced manufacturing • Tap on our reputation to grow a trust industry • Capture higher-value jobs and new opportunities for Singaporeans
2	Boldly pursue emerging opportunities to create new engines that can push the growth frontier of our economy	• Invest in areas such as quantum and space tech • Attract and nurture globally-leading enterprises • Sustain a vibrant start-up ecosystem and entrepreneurial culture, with more support for high-potential start-ups
3	Establish Singapore as an AI leader with an AI-empowered economy	• Position Singapore as a place to develop, test, deploy and scale impactful AI solutions • Drive AI adoption across the economy to lift productivity • Support firms and SMEs to transform and benefit from AI
4	Strengthen connectivity and linkages to global markets, and more aggressively support firms to internationalise	• Invest in transport hubs and networks for new supply chain opportunities • Strengthen trade cooperation • Help firms venture overseas and bring value back to Singapore through higher-value jobs and additional revenue
5	Broaden the range of good jobs in our economy	• Uplift and transform jobs in sectors that can better withstand global shifts • Including jobs in skilled trades and care and social services • Nurture a new generation of founders to build the next wave of enterprises and jobs
6	Make lifelong learning a practical reality and empower every worker to take charge of their career	• Make lifelong learning a practical reality by blending training with work • Build AI literacy across the workforce • Strengthen career transition support via better career guidance, job matching and placement services
7	Enable our businesses to proactively navigate transitions	• Help firms better understand and shift to more viable opportunities as the economy restructures • Review tools and resources available to business leaders

Source: Singapore government

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DBS Flash

Singapore: Strong start to the year

Economics/GDP

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- *Singapore's GDP growth rates of 6.9% YoY and 2.1% QoQ sa in 4Q25 were lifted from advance estimates.*
- *Incoming data in early 2026 and positive carryover effects point to resilient growth for now.*
- *We see near-term momentum from global artificial intelligence (AI) tailwinds, and supportive modern services and construction sectors.*
- *Nonetheless, lingering external tariff headwinds pose threats to non-electronics exports and the trade dependent economy.*
- ***Forecast implications:** We raise our 2026 real GDP growth forecast to 2.8%.*

Singapore's economy has entered 2026 on a firm footing, following stronger-than-anticipated growth momentum in 4Q25. Real GDP growth was lifted to 6.9% YoY and 2.1% QoQ sa from advance estimates of 5.7% YoY and 1.9% QoQ sa. The upward revision was across the broad sectors, driven mainly by much stronger manufacturing and services growth compared to initial estimates. Growth in 2025 therefore was 5.0%, but eased from the upwardly revised 5.3% expansion in 2024.

Incoming data at the start of 2026 and positive carryover effects point to resilient near-term growth conditions. Nonetheless, we expect this resilience to be tested as the year progresses, mindful of lingering external tariff challenges. **We therefore raise our 2026 real GDP growth forecast to 2.8%** (from 1.8%). This is consistent with potential growth, and easing from the above-trend expansion of the past two years. Alongside the data release, the Ministry of Trade and Industry upgraded its 2026 GDP growth forecast for Singapore to 2.0-4.0% (from 1.0-3.0%). It assessed an improved outlook for trade-related sectors compared to November, with balanced global risks.

Real GDP growth by sectors

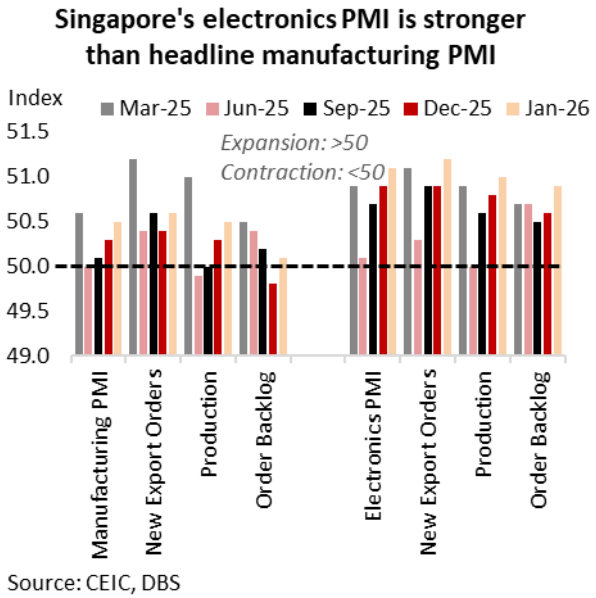
	2024	1Q25	2Q25	3Q25	4Q25	2025
% YoY						
Overall GDP	5.3	3.9	4.6	4.6	6.9	5.0
Manufacturing	3.8	4.7	5.1	5.3	18.8	8.7
Construction	5.4	4.2	6.6	5.6	4.6	5.2
Services	5.8	3.5	4.5	4.3	4.8	4.3
% QoQ sa						
Overall GDP	5.3	0.1	1.7	2.6	2.1	5.0
Manufacturing	3.8	-1.0	0.8	9.3	8.4	8.7
Construction	5.4	-0.8	4.8	0.6	0.2	5.2
Services	5.8	0.7	1.9	1.2	1.0	4.3

Source: MTI, CEIC, DBS

Refer to important disclosures at the end of this report.

Positive trend in AI-exposed trade sectors

Global artificial intelligence (AI) tailwinds that boosted Singapore's manufacturing and trade-related services sectors in 2025 appear to be sustaining into early 2026, with the maturing tech upcycle yet to show signs of waning. Incoming manufacturing sentiment data highlight electronics as a key driver of near-term resilience. These were underpinned by sustained momentum from global AI-related demand for Singapore's server products and memory chips. The electronics purchasing managers' index (PMI) rose further to 51.1 in January, returning to its January 2025 level (*see chart for selected sub-indices)*. Its positive divergence with the headline manufacturing PMI persisted.

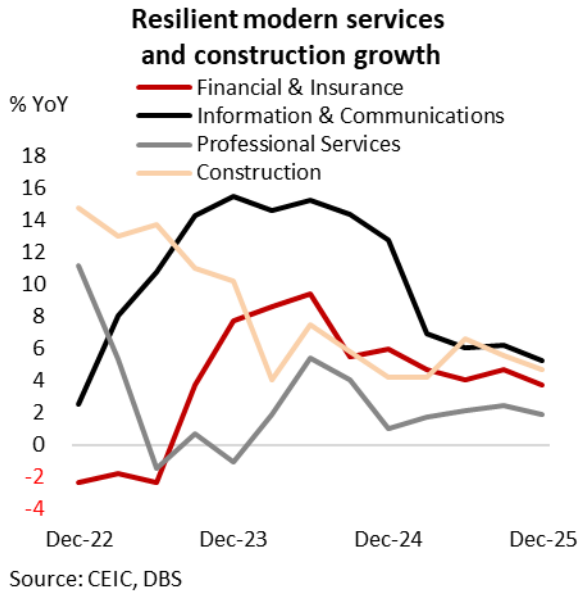


The business expectations quarterly survey similarly pointed to strong confidence among electronics manufacturers, with a net weighted balance of around 30% of firms expecting a better outlook for 1H26 (close to the findings in the previous survey). The wholesale trade sector will also likely be supported by positive global AI developments in the near term.

Support from modern services & construction

We expect the modern services cluster (comprising finance & insurance, information & communications, and professional services) and the construction sector to support Singapore's overall economy.

We continue to see various tailwinds supporting the growth prospects of modern services firms in 2026, despite external challenges. These include: (1) accommodative financial conditions from low domestic interest rates and improved trading activity partly aided by the Monetary Authority of Singapore (MAS)'s equity market reform measures, (2) strong AI digitalisation efforts, as well as (3) continued interest in Singapore's trusted business hub.



The domestic construction sector will be a bright spot in 2026, with the multi-year boom already underway. The Building and Construction Authority (BCA) expects sustained construction demand this year. It sees construction demand in 2026 supported by the expected awarding of additional construction works for Changi Airport Terminal 5, Marina Bay Sands Tower 4 expansion, New Tengah General

& Community Hospital, as well as railway network expansion projects such as Downtown Line 2 Extension and Thomson-East Coast Line Extension. Housing building works will also contribute to construction activity.

Lingering external tariff headwinds and risks

US tariffs globally remain higher than the rates before US President Trump's second term, despite the de-escalation in US trade tensions since April 2025. We therefore expect the lagged effects of higher US tariffs to restrain global trade. Singapore's non-electronics exports are likely to face downside pressures from these lingering external tariff headwinds, reflecting the uneven dynamics within the trade-related sector.

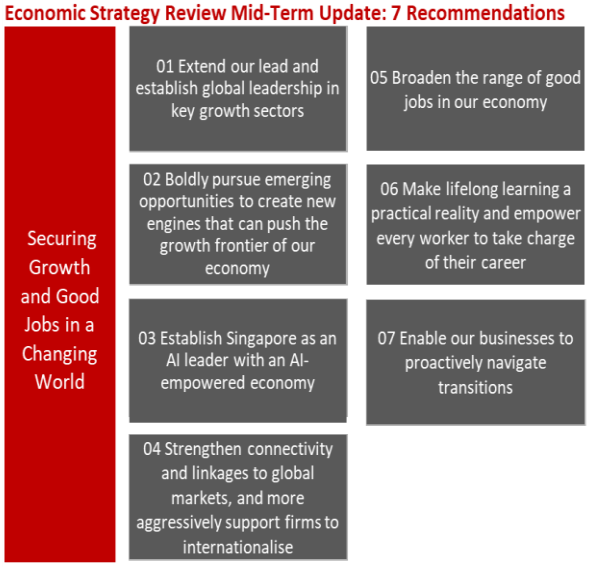
Considering the still-highly uncertain global economic landscape, we continue to monitor various downside risks. These include any unexpected re-escalation in tariff tensions, US sectoral tariffs such as phase two of US semiconductor tariffs, and an abrupt and disorderly pullback in the exuberant financial market sentiment over the AI boom, negatively impacting AI investment and trade-related demand.

Budget 2026 to strengthen competitiveness

Amid an increasingly fractured and disruptive global landscape, alongside tighter domestic resource constraints, we expect the Budget 2026 statement on 12 February to strategically position Singapore to remain competitive. As the first budget of the new government term, it will likely strike a balance between calibrated and targeted policy support, and fiscal responsibility and prudence. We forecast a slight overall fiscal surplus of SGD3.2bn (0.4% of GDP) for FY2026.

We expect key priorities to include accelerating AI adoption and innovation to lift productivity, supporting firms' internationalisation efforts, advancing the green transition, and strengthening human capital through talent attraction and upskilling. Measures to ease business cashflow and cost pressures may also be considered as economic resilience is tested in the cyclical horizon. Overall, the budget will closely align with the seven recommendations of the Economic Strategy Review Mid-term Update, as the government strives to achieve the higher end of its 2.0-3.0% growth projection over the next decade through increased calculated risk-taking, alongside the creation of good jobs *(see Singapore Budget 2026: Strengthening competitiveness)*.

Economic Strategy Review Mid-Term Update: 7 Recommendations



Source: Singapore government, DBS compilation

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Economics

DBS Flash

Indonesia: Balancing policy, safeguarding growth

Economics/Indonesia

DBS Group Research February 5, 2026

Radhika Rao
Senior Economist

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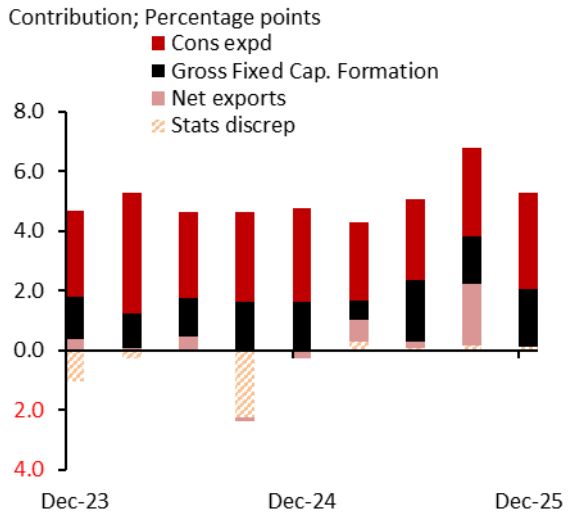
- *Indonesia posted an upside surprise in 4Q, with growth at 5.4% yoy.*
- *Consumption and investment stayed firm while contribution from net exports narrowed.*
- *1Q26 stands to benefit from festive demand, stimulus and low base effects.*
- *We revise up 2026 growth forecast by 10bp to 5.3% yoy.*
- *After a firm 1Q26, inflation should normalise as base effects fade.*
- *Policy is likely to walk a tightrope.*
- *We expect 2026 fiscal deficit to stay within the -3% of GDP threshold.*
- ***Implications for markets:** Monetary easing will be opportunistic.*

Growth ends 2025 on a firm note

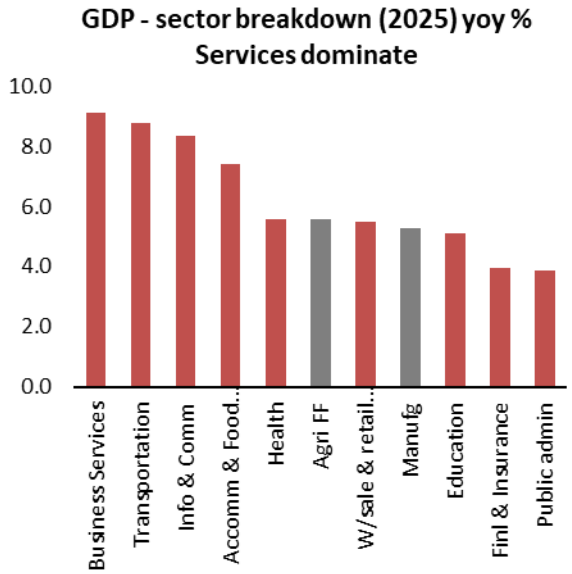
Indonesia posted an upside surprise in 4Q25, with GDP growth at 5.4% yoy three year high, up from 5% the previous quarter. Annual 2025 growth stood at 5.1% yoy, slightly better than our forecast 5.0%. Confidence indices improved late last year, helped by higher public-sector spending, welfare measures, firm loan growth, and a pickup in demand for services. These drivers were reflected in private consumption rising 5% yoy, alongside a 6% yoy increase (vs 5% in 3Q) in gross fixed capital formation. Under fixed capital formation, heavyweight buildings & structures (3.7% yoy from 3%) quickened on a pickup in construction activity, as well as machine & equipment up 22% yoy from 17% in 3Q, both of which signal strong public sector investments. The contribution of net exports narrowed as a pickup in exports (goods & services) was offset by a concurrent beat on import growth (see chart).

Indonesia: breakdown of GDP growth



Source: CEIC, DBS

The industry breakdown pointed to a firm finish in services (see chart), including accommodation & food beverages, information & communication, education, and transportation & storage, part of which also symbolises the shift in demand from goods to services. Market-driven volatility, however, persisted with the currency maintaining a depreciating bias and bond yield off lows in 4Q25, limiting incremental policy transmission.



Source: CEIC, DBS

Looking ahead

Investment and consumption activity are likely to be supported by a low base effect, particularly from a change in the religious observance period (mid-Feb26 to mid-Mar26 vs Mar25 last year) in the first quarter of 2026. Demand usually also benefits before Lebaran, as well as the disbursement of the Religious Holiday Allowance (THR). The government also unveiled an IDR12.8trn fiscal stimulus package for Ramadan in Feb-Mar.

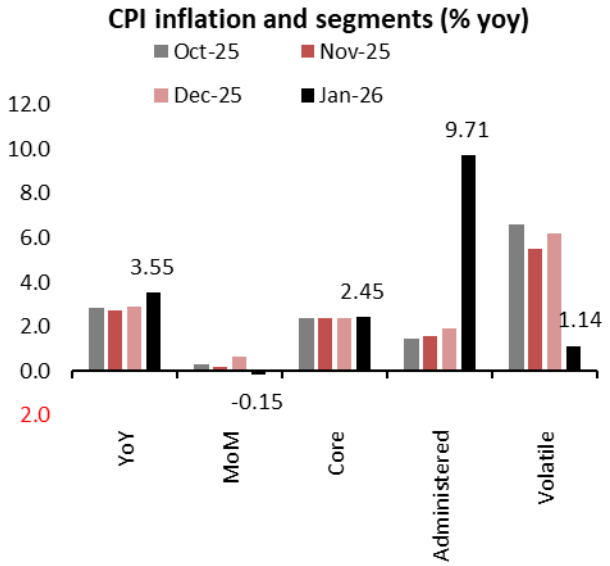
Sentiments might be temporarily hampered by recent volatility in the capital markets, but are likely to stabilise on corrective measures. **Indonesia's authorities continue to initiate steps** to boost stock market transparency while actively engaging with index provider MSCI. Besides large scale leadership reshuffle in the securities regulator OJK and the stock exchange, other changes have included an increase in the minimum free float level, assurances of more detailed and timely ownership data, regular updates and dialogue with the MSCI/market participants, efforts to broaden institutional involvement via higher participation of pension & insurance funds as well as the state investment agency in the equity market and acceleration of demutualisation of the stock exchange. While few of these will take time to be rolled out, our view is that a concrete roadmap and meaningful progress of near- and medium-term changes would help to meet the index provider's requirements ahead of the May 2026 deadline. Additionally, **external trade** is expected to support growth (see next section for details).

We revise 2026 growth up modestly to 5.3% from the previous 5.2%, assuming fiscal spending remains apace, sentiments benefit once capital market volatility subsides and monetary conditions stay accommodative.

Warm inflation, supportive trade balance

Inflation

January CPI inflation ticked up to nearly a three-year high at 3.6% yoy from an average 1.9% yoy in 2025, driven up by base effects (electricity tariffs were cut the same time last year).



Source: CEIC, DBS

Source: CEIC, DBS

This is reflected in the sharp 9.7% yoy increase in the administered prices in the month, while other categories remain at steady to weaker levels. Precious metals, meanwhile, continued to maintain a strong beat (up 15.2% in Jan 26 vs 13% month before). **Core inflation** was steady at 2.5% yoy, though excluding gold, the core-core reading was benign at 1.3% yoy, signaling slack in the economy.

Passage of base effects is expected to normalise inflation 2Q onwards. **We revise full-year 2026 CPI Inflation 2.8% yoy from 2.5% previously, still within the central bank's target 1.5-2.5% range.**

Goods trade

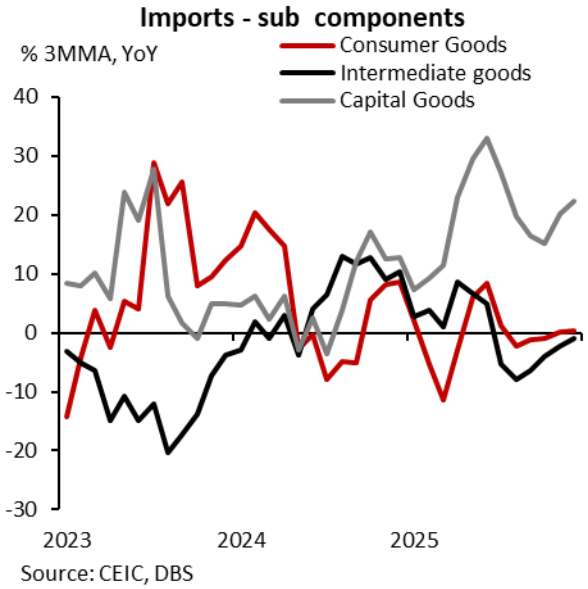
Beating expectations, Dec25 exports rose 11.6% yoy, owing to larger shipments of palm oil, nickel, and other electrical components. Imports rose 10.8%, leaving a reasonable trade surplus at $2.5bn in December.

Annual 2025 goods exports registered a 6% yoy rise, characterised by a firmer 1H and a softer 2H due to the passage of front-loaded demand, outpacing imports at 2.8%. China remained the largest export destination, with a share of 24%, helped by higher sales of iron & steel, mineral fuels and nickel, followed by the US (11.5%), notwithstanding higher tariffs, India (6.8%), ASEAN (19%), and the EU (7.2%).

Indonesia's authorities are reportedly in discussions with the US to secure a few exemptions, especially for commodities. Notably, exports to the US have remained resilient despite the tariff rates coming into effect in the second half of the year. Sep-Dec25 exports to the US averaged 9.9% yoy (see chart below), better than 3% to the rest of the world (ex US). The pace of shipments to China also moderated to 4% yoy. As the chart below shows, firmer exports of key commodities have continued to support export performance, while labour-intensive sectors have lagged the broader upmove. **One monitorable** is any fresh regulations on exports of these commodity groups, especially nickel, gold, copper, etc., which could impinge on the 2026 performance.

On imports, China remained the main source of imports as well, ahead of Japan and the US. Purchases of the heavyweight intermediate goods was largely flat on the year, while capital goods witnessed a strong upturn, likely perked by higher government capex spend. Total expenditure (centre and regional transfers) is expected to grow by 11.3% in 2026 (realised 2025 vs budgeted 2026).

Factoring in global developments and tariffs, we expect Indonesia's goods trade balance to narrow by a tenth but stay in black in 2026.



Macro stability

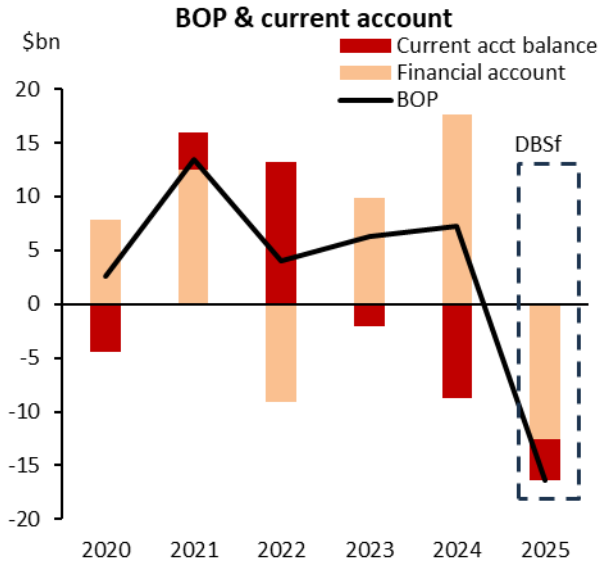
Policy is likely to walk a tightrope in 2026, vying to stimulate growth while maintaining overall macro and financial market stability.

Current account

On a quarterly basis, the 4Q25 current account balance is likely to return to a modest deficit over a narrower goods trade surplus. While the current gap will be contained below -0.5% of GDP, capital flows will fall short of financing needs, particularly due to a negative portfolio flows picture, pushing the full-year balance of payments into the red for the first time in six years.

Looking ahead, factoring in our forecast of a narrower trade balance in 2026, we expect the current account deficit to average -0.7% of

GDP, with much attention on the strength of financing flows.



Source: CEIC, DBS

Fiscal health

Preliminary fiscal numbers showed the 2025 annual deficit widening to IDR 695trn, i.e., -2.92% of GDP, just shy of the mandatory -3.0% of GDP threshold, primarily due to a shortfall in revenues. State total revenues contracted 3.3%yoy owing to implementation issues impacting the core tax , cancellation of the VAT rate increase, soft commodity prices, and the reallocation of SOE dividends, etc. Spending kickstarted the year on a slower note, facing austerity cuts, but accelerated in the second half as the new Finance Minister pointed to an expansionary fiscal tilt. Add to these, allocations towards the flagship MBG scheme (IDR 52trn vs budgeted IDR71trn) and other social welfare programs caught momentum as the year went by. The government also launched four stimulus packages worth ~0.5% of GDP. Fiscal concerns have amplified the exogenous headwinds already facing the currency this year.

Preliminary numbers for Jan26, cited by the Finance Ministry, showed a 20.5% jump in tax revenues, helped by a low base in the comparable year ago period. Projecting the deficit at -2.68% of GDP, the government has factored in an expenditure increase of 11.3% yoy in 2026 (vs preliminary 2025) to accommodate welfare spending plans, including a sharp increase in the allocation towards the free meal program (IDR 335trn to reach ~82.9mn beneficiaries), defence and support to regional governments.

State revenues are projected to rise by 14% yoy, helped by 21% increase in tax receipts, while non-tax collections might slip. An increase in direct tax rates is unlikely, aside from a deferral of the VAT rate increases. An export tax on gold might be accompanied by a similar tax on coal exports. We await clarity on this count. **For the year, the fiscal stance will remain expansionary but within the -3% of GDP cap**. We maintain our call for -2.9% of GDP, assuming a slower-than-budgeted rollout of spending and softer revenues.

While monetary policy is likely to remain aligned with the accommodative fiscal stance, rupiah underperformance amid a pickup in inflation and steady growth might keep the BI from lowering rates aggressively this year. Our baseline call is for 50bp more cuts this year, but likely in the second half. The two factor to monitor are the rupiah's direction and the scale of the US Fed's easing, contingent on global macro conditions and the scheduled change in the US Fed Chair in mid-May.

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